

GOVERNMENT OF INDIA
MINISTRY OF CIVIL AVIATION
RAJYA SABHA
QUESTION NO 21.10.2008
ANSWERED ON
COST OF ATF .

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Will the Minister of CHEMICALS AND FERTILISERS, EXTERNAL AFFAIRS, HEALTH AND FAMILY WELFARE, CIVIL AVIATION be pleased to state :-

- (a) whether the domestic cost of Aviation Turbine Fuel (ATF) is very high in India;
- (b) if so, the details thereof;
- (c) whether in view of the mounting losses suffered by public as well as private airlines, the International Air Transport Association (IATA) has called on Government to take steps to reduce ATF cost;
- (d) if so, the details thereof; and
- (e) the steps taken by Government in this direction?

ANSWER

MINISTER OF STATE (INDEPENDENT CHARGE) OF THE MINISTRY OF CIVIL AVIATION

(SHRI PRAFUL PATEL)

(a):- Yes Sir. (b):- ATF prices for domestic operations in India are approximately 60-70% higher than the international benchmark. Details of the amount being paid by the domestic and international airline per kilolitre at four metro cities in India are as follows:-

Operation	Operation	Equivalent	Rs./KL	Rs./Kilolitre	Station	For Domestic	For International
Mumbai	61,834.80	45,310.86	Kolkata	69,005.91	Delhi	59,650.08	45,583.02
	45,444.42					47,315.94	Chennai 65,499.44

(c)& (d):- This Ministry has received requests from various airlines and concerned organization for reducing taxes on ATF. (e):- State Governments have been requested to consider moderation of the rate of sales tax imposed on Aviation Turbine Fuel (ATF) and align it with the `Declared Goods` rate of 4%. Empowered Committee of State Finance Ministers was also requested to consider moderation of the rate of sales tax imposed on ATF and reduce it to the `Declared Goods` rate of 4%. The matter of ATF was also discussed in the national conference on Civil Aviation held on 18.01.2008 at New Delhi with the representatives of all State Governments and Union Territories. Based on the deliberations held in the Conference, a group of officers has been constituted with a view to present the ATF taxation issues to the Empowered Committee of State Finance Ministers as well as the Ministry of Finance. Governments of Andhra Pradesh and Kerala have since reduced the sales tax on ATF to 4%. Government of Rajasthan has also reduced the sales tax on ATF to 4% in certain cases. Government of Maharashtra has also reduced Sales tax on ATF from 25% to 4% for flights from airports other than Pune and Mumbai. The matter of high price of ATF was also discussed in the meeting of the Committee constituted to examine various issues relating to the current financial crisis being faced by domestic airlines.